廣發証券(香港)經紀有限公司
GF SECURITIES (HONG KONG) BROKERAGE LIMITED

Overseas
Technology

CSP Capex Wrap-up: AI Capex Decelerates from 2028

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What's New?

On Oct 30, S&P revised Meta's rating outlook from Stable to Negative, following most U.S. CSPs highlighted FCF pressure in their latest earnings calls except Microsoft. We forecast Top-5 U.S. CSPs capex to be ~$1.2tn/1.4tn in 2027/2028, or +43%/16% YoY (vs. our previously forecast of +53%/20% YoY), suggesting a deceleration in 2028. Per Bloomberg consensus, Top 3 Neoclouds' (SpaceX, CoewWeave, Nebius) capex is expected to grow 297%/146% in 2026E/2027E, before moderating sharply to 6% in 2028E.

Comments

U.S. CSPs capex to be +85%/43% YoY in 2026/2027: Recent Top-5 earnings calls point to elevated spending through 2027 on robust AI demand and tight capacity: Microsoft expects acceleration in F2H27 on CPUs/GPUs and delayed third-party deliveries; Amazon, Alphabet, and Meta all guided to further increases in 2027 to support compute, data centers, and AI initiatives. Oracle, however, sees FY27–28 as the capex peak ahead of a FY29 step-down. Factoring in concerns over FCF pressure and credit ratings, we lower our 2027 Top-5 growth forecast to 43% YoY from 53%. We now expect Top-5 U.S. CSP capex of $829bn/$1,182bn in 2026/2027.

U.S. CSPs FCF pressure to lead to +16% YoY in capex in 2028: We expect U.S. CSPs to remain under pressure and largely negative in FCF into 2028 (except Microsoft), as Amazon continues large capex despite near-term FCF headwinds, Alphabet faces pressure from infrastructure investments and TPU builds, Oracle expects FCF to turn positive only in F2H28 and exceed US$30bn in FY29, and S&P sees Meta's FCF potentially negative beyond 2028. Reflecting the FCF strain, Oracle's FY29 capex step-down, Meta's rating change, and Chinese LLM competition as a swing factor, we now forecast Top 5 U.S. CSP capex of $1,370bn in 2028, +16% YoY, down from +20%.

Neoclouds capex hike in 2026/2027, while financing remains in focus: Top 3 Neoclouds' (SpaceX, CoewWeave, Nebius) capex is expected to grow 297%/146% in 2026/2027, before moderating to 6% in 2028, per Bloomberg consensus. Evaluating financing resilience over the next two years, we view SpaceX as best-positioned, by: 1) robust Starlink business; 2) ARR up to $100bn by end-2026; 3) CFO up to ~$200bn in 2027. Near-term, it is executing $40bn GPU debt ($30bn IG + $10bn loan). On the other hand, capital access for other operators is likely to be more selective. We believe Neoclouds with: 1) project secured notes backed by CSP backlogs/Nvidia; 2) a higher mix of CB/fixed-rate debt, will offer more downside protection. Recent IPO progress (e.g., Nscale, SB energy) warrants close monitoring.

Recommendations:

1) Per our *Overinvestment Amid Widening Quality Divide report on Oct 27,* we expect the focus to be on borrower quality, as quality divide widens, favoring larger AI vendors. SpaceX's CEO Elon Musk highlighted this divergence, noting SpaceX secured ~$40bn of GPU-related debt given its IG rating and diversified revenue. In sum, we don't see capital availability as a major concern for now, but more selective funding should favor larger, better-capitalized players, leading to a capex deceleration from 2028.
2) We trim our AI accelerator forecast in 2028 to $1.01tn from $1.03tn, while any meaningful changes will depend on our Nvidia modeling for the next note. Per our MTK (2454 TT Hold) Downgrade on Nov 2, we expect Google TPU volume (CoWoS production basis) to be 4.1m/8.8m/8.3m in 2026/2027/2028, due to lowered v9 volume in 2028 and fast increasing TDP per chip. Due to limited visibility of T4 tape-out, we expect total AWS units to be 2.3m/2.6m/2.1m in 2026/2027/2028.

Risks

1) AI demand slowdown, 2) infrastructure deployment, 3) supply constraints, 4) competition.

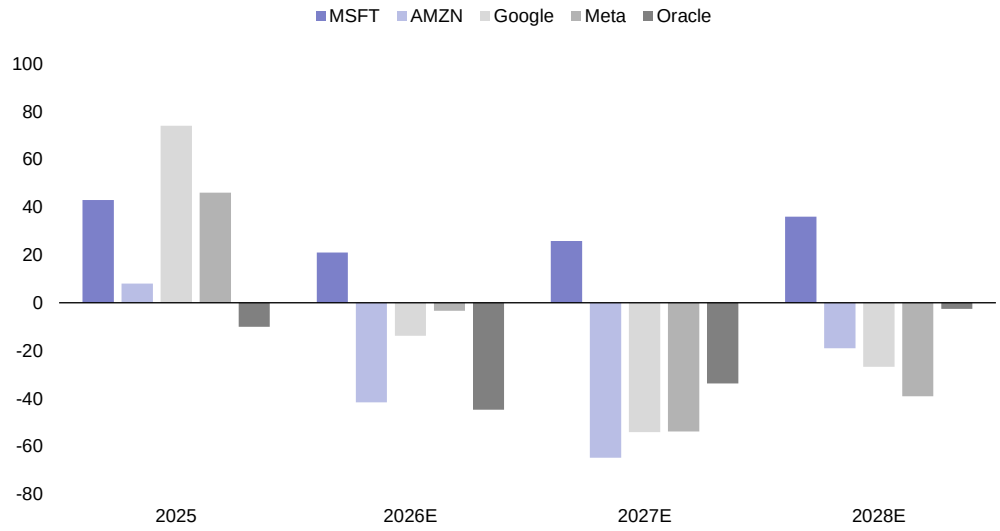
Focus Charts

Figure 1: U.S. Top-5 CSP capex (USD bn)

	2023	2024	2025	2026E	2027E	2028E
MSFT	41	76	118	185	235	270
AMZN	53	83	132	220	300	345
Google	32	53	91	200	322	386
Meta	28	39	69	140	223	256
Oracle	7	11	35	84	100	110
Top-5	**161**	**261**	**446**	**829**	**1,182**	**1,370**
YoY		**62%**	**71%**	**85%**	**43%**	**16%**

Sources: Company data, Bloomberg, GF Securities (Hong Kong) Brokerage

Figure 2: U.S Top-5 CSPs free cash flow forecast (USD bn)



Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 3: Major 3 Neoclouds capex (USD bn)

	2025	2026E	2027E	2028E
SpaceX	21	83	271	280
CoreWeave	11	35	48	52
Nebius	4	24	33	41
Total	**36**	**143**	**352**	**373**
YoY		**297%**	**146%**	**6%**

Sources: Bloomberg, GF Securities (Hong Kong) Brokerage

Figure 4: Major 6 Neoclouds year-end capacity (GW)

	2025	2026E	2027E
SpaceX	0.4	2.0	10.0
CoreWeave	1.0	1.9	3.2
Nebius	0.3	0.9	2.1
IREN	0.1	0.3	1.0
Nscale	0.0	0.1	0.6
Lambda	0.1	0.2	0.4
Total year-end capacity	**1.9**	**5.4**	**17.3**
Net addition		**3.5**	**11.9**

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 5: Coreweave's 5-year CDS spread (bps)



Sources: Bloomberg, GF Securities (Hong Kong) Brokerage

Figure 6: Global AI accelerator market forecast

	2024	2025E	2026E	2027E	2028E
GPGPU (Units m)					
NVIDIA	3.9	5.8	8.1	11.3	12.6
AMD	0.5	0.5	0.8	1.1	1.3
Others	0.5	1.2	1.5	3.0	4.0
Total	**4.9**	**7.5**	**10.4**	**15.4**	**17.9**
YoY		54%	38%	47%	16%
ASIC (Units m)					
Google	2.8	2.6	4.1	8.8	8.3
AWS	0.9	1.6	2.3	2.6	2.1
Meta	0.2	0.2	0.3	0.6	0.6
MSFT	0.1	0.1	0.2	0.4	0.6
Other ASICs	0.0	0.0	0.0	0.5	1.3
Total	0.3	0.8	1.0	1.0	1.0
YoY		24%	51%	76%	0%
Market (USD bn)					
NVIDIA	88	156	280	527	774
Total GPGPU	97	166	302	574	843
Total ASIC	20	26	48	115	164
Total Market	**117**	**192**	**350**	**689**	**1007**
YoY		65%	83%	97%	46%

Sources: Company data, GF Securities (Hong Kong) Brokerage

Risks

1) AI demand slowdown, 2) infrastructure deployment, 3) supply constraints, 4) competition.

Rating definitions Benchmark: Hang Seng Index (Hong Kong)

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	Hold	Expected stock relative performance ranges between -10% and 10%
	Underperform	Stock expected to underperform benchmark by more than 10%

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